

**IN THE HIGH COURT OF TANZANIA
DAR ES SALAAM DISTRICT REGISTRY
AT DAR ES SALAAM
LAND CASE NO. 34 OF 2014**

**GOLDEN REEF LTD.....PLAINTIFF
VERSUS
ULF NILSSON..... DEFENDANT**

JUDGMENT

Date of Last Order: 03/11/2020

Date of Judgment: 31/12/2020

The Plaintiff herein **GOLDEN REEF LTD** claims for a decree and Judgment against the Defendant namely **ULF NILSSON** that his continual to hold the title deed with the Certificate of Title No. 45952 in relation to Plot No. 15 Block "A" Kimbiji area, in Dar es Salaam is wrongful, hence he should hand it over to the Plaintiff and pay damages for his wrongful refusal to return it to the Plaintiff. In his plaint the Plaintiff claims for the following reliefs;

(a) Declaration that the withholding of Certificate of Title No. 45952 by the Defendant is wrongful.

(b) Return and or handover of the Certificate of Title No. 45952 to the Plaintiff.

(c)General Damages for wrongful withholding of the Certificate of Title.

(d)Interest on the General Damages at the Court rate from the date of judgment to the date of return of the certificate of title.

(e)Any other reliefs that this court deems fit to grant.

(f)Costs of the suit.

The Plaintiff's side had three witnesses while the Defence case comprises a total number of three witnesses as well. The Plaintiff is represented by Mr. Kalolo Bundala, Learned Advocate from M/S Ismail & Co. Advocates while the Defendant is represented by the Learned Advocate J.I. Rutabingwa from Rutabingwa & Co. Advocates.

The first witness for the Plaintiff's side CAPTAIN LAZARUS ABEL SANGA (PW1) testified that he is a Pilot by profession. He said that he and one Menrad Florian Haule are the Share-holders and Directors for Golden Reef Ltd. That they got shares through a transfer to them on 14/11/2008 following the purchase from DW1 and DW2 who were the Share-holders and Directors. He said that as new share-holders they paid various debts for the company and settled various outstanding and this caused a delay in having their shares to be registered with BRELA. It happened that while they were making follow up of various matters of the company they did notice that the certificate of title No. 45952 which was for the Plot No. 15 Block "A" Kimbiji area, in Dar es Salaam holden by Golden Reef Ltd was missing. They tried to communicate with DW1 and DW2 in vain. Upon making advertisements in the public newspapers and reporting to Police on the missing of the said certificate it was noted that the same was in possession of the Defendant.

PW1 said that it is the Defendant (Ulf Nilsson) who showed up after the said advertisements. He said that inspite of being requested the Defendant refused to hand over the said certificate of title to those new Directors for the Plaintiff, thereby paving way for the filing of this suit for recovery of the certificate of title.

The 2nd witness for the Plaintiff one DESIDERY NGALO, ADVOCATE (PW2) testified that he knows the Defendant and that Lloyd Martinsen (DW1) and Otto Holte (DW2) are the previous Directors. He said that he also knows the present Directors, Menrad Florian Haule and Captain Lazarus Sanga (PW1). He further stated that DW1, DW2, Captain Sanga (PW1) and Haule were stake holders in Scan African Aviation Limited in which he used to act for, and those persons used to witness and sign various documents executed by them from time to time. He is therefore conversant with their signatures.

PW3 one SEKA KASSERA, a Senior Officer from BRELA (Office of Registrar of Titles) confirmed the validity of the transfer of shares forms executed by Lloyd Martinsen (DW1) and Otto Holte (DW2) to Captain Sanga (PW1) and Lazarius Haule. He confirmed that there was no forgery or wrong doing in the process of transfer of shares. He also said that a delay in filing/submitting of the transfer of shares forms does not invalidate them.

That was the end of the Plaintiff's case.

The 1st and 2nd witnesses for Defence, LLOYD MARTHISEN (DW1) and OTTO ARNE HOLTE (DW2) testified that they are share-holders in the Golden Reef Ltd, and that they have not sold their shares in Golden Reef Ltd to Captain Sanga (PW1) and Lazarius Haule. They did purchase the company with

shares from one Anord Schwartz in 1999. They said that the company holds the property with a Certificate of Title No. 45952 located on Plot No. 15 Block "A" Kimbiji, Dar es Salaam. The witnesses said that when they left Tanzania for their homeland, Norway they handled all the documents for Golden Reef Ltd including the said title deed to Ulf Nilsson (DW3), the Defendant. They said that they have no written instrument to prove the said handing over, but he is the custodian of their documents in respect of the Golden Reef Ltd.

They said that the documents for transfer of shares purported to have been signed by them are forged. The witnesses further stated that on the date that the documents are alleged to have been signed by them, 14/11/2008 they were not in Tanzania, each of them stated that he was in their home country, Norway and they never came back to Tanzania since they left the country in 1999 until the recent date when they arrived regarding the court summons for this case. They tendered to court copies of their passports (Exh. D1 and D2) to prove that by that time they were not in Tanzania.

The 3rd and last witness for defence one ULF NILSSON (DW3) merely reiterated what had been stated by DW1 and DW2 that he is only the custodian of the documents given to him by Lloyd Marthinsen (DW1) and Otto Holte (DW2) with no instrument in writing to prove the handing over and custody.

From the evidence that have been adduced the following issues are to be determined;

1. Whether Otto Holte and Lloyd Marthinsen lawfully handed over the Certificate of Title No. 45952 to the Defendant for safe keeping.

2. Whether the Plaintiff's company is entitled to repossession of the Certificate of Title No. 45952.

3. To what reliefs are the parties entitled.

The 1st issue ***"Whether Otto Holte and Lloyd Marthinsen lawfully handed over the Certificate of Title No. 45952 to the Defendant for safe keeping"*** is hereby analysed as hereunder;

In his testimony Captain Lazarius Abel Sanga (PW1) who alleges to be one of the share-holder's for the Company (Plaintiff) together with one Menrad Florian Haule challenged the handing over of the certificate of title (title deed) in dispute to the Defendant, that it was unlawful. PW1 stated that they are the righteous owners of the suit property regarding transfer of shares of the company, Golden Reef Ltd to them from the purported former Directors who were DW1 (Lloyd Marthinsen) and DW2 (Otto Arne Holte) on the 14/11/2008. Actually, the legality in ownership of the suit property will determine if DW1 and DW2 were right to hand over the property to the Defendant.

It is undisputable that the suit property, a title deed with Registration No. 45952 which is for the Plot No. 15 Block "A" Kimbiji area, in Dar es Salaam has been registered in the name of Golden Reef Ltd, the issue is who is the righteous owner of the said company namely Golden Reef Ltd. In determining this issue there is a necessity to know the real owner of the property in question. While the Plaintiff through PW1 alleges that the property is co-owned by the Plaintiff through its purported Directors, Captain Lazarius Sanga (PW1) and Menrad Florian Haule, the Defendant through

DW1, DW2 and DW3 allege that it is the property of the DW1 and DW2 through their company namely Golden Reef, the Defendant.

The evidence reveals that DW1 and DW2 bought shares from Golden Reef Ltd on the 16/12/1999 from the Australian man namely Anord Schwartz and they never transferred them to anybody else. The said witnesses came up with two grounds to prove that; First, the signatures seen in the documents for Transfer of Shares (Annexures D1 and D2) are not theirs, they are forged. The only evidence adduced by the Prosecution to justify the issue of signature is the testimony of PW2 (Desdery Ngalo) Advocate whose evidence just relied on the fact that he knows DW1 and DW2 as well as their signatures. He said that he is conversant with their signatures as he ever acted for Scan African Aviation Company Limited in which those persons were stake-holders together with PW1 and Menrad Florian Haule where they used to sign various documents executed by them from time to time of which he witnessed. My comment on this evidence is that the PW2's opinion alone that he is conversant with the DW1's and DW2's signatures, without any other evidence to prove that the signatures in the document for transfer of shares (Exh. D1 and D2) are DW1's and DW2's respectively, makes the said evidence to have no legal weight. The visual comparison of DW1's and DW2's signatures cannot cure the allegation that the contents in the said documents including the signatures for transferers (DW1 and DW2) are forged. The Plaintiff, as the one who alleges that the documents have been signed by DW1 and DW2 had a duty to prove on that, particularly through the Handwriting Expert's opinion.

PW3 (Seka Kassera) who is a Senior Officer from BRELA insisted that there was no forgery or wrong doing in the process of transfer of shares. PW1 also had the same view in his testimony. But among the scenario that raises a doubt is the date that the document for transfer of shares was filed at BRELA for endorsement which is 10/06/2012, while they are alleged to have been signed by DW1 and DW2 on the 14/11/2008, about four years back. This creates a doubt on the genuineness of those documents.

Another thing I would like to comment is that there is no dispute that the suit property and its title is owned by the Golden Reef Ltd but the issue is who owns it. If the purported owners of Golden Reef, DW1 and DW2 decided to confront the defendant, I would have expected them to contact the persons alleged to have sold those shares to them, Marthinsen (DW1) and Otto Arne Holte (DW2) and ask them concerning the whereabouts of the title deed for the said property or ask them whether they had given it to the defendant for safe custody. The fact that that has never been done it creates a doubt on the legality of the Plaintiff's claim against the Defendant.

Another doubt in the Plaintiff's case is that on the 14/11/2008 the date that the shares were alleged to have been transferred the said purported transferers were not in Tanzania. DW2 (Otto Arne Holte) testified that on that date he was in Norway and before that he was in Dubai for Medication. He tendered to court the Passport (Exh. D2) to prove that issue. DW1 (Lloyd Marthinsen) also stated that since he had left the country in 1999 he never come back to Tanzania until this time when he has come for giving evidence ~~before this court. The witness tendered to court a certified copy of his~~ passport (Exh. P1) and the same shows that on the material dates he was

not in Tanzania. These testimonies have not been shaken at all by the Plaintiff which means that they are correct. It therefore suffices that the said document for transfer of shares (Exh. D1 and D2) are not genuine. I can agree with those witnesses that they are forged documents.

As for the issue of relationship between them (DW1 and DW2) on one hand, and Captain Sanga (PW1) and Menrad Florian Haule on the other hand the evidence reveals that they were employer and employee in the Golden Reef Ltd, that the two were the Defendant's employees. Whether the said relationship still exist or not this is not the forum for that purpose.

The Plaintiff alleged that the action taken by Lloyd Marthinsen (DW1) and Otto Holte (DW2) to handle the Certificate of Title No. 45952 to the Defendant was unlawful and unprocedural. The Defendant, Ulf Nilsson (DW3) admitted that he was given the certificate of title by DW1 and DW2 for safe custody without any written proof. I don't see it being fatal and the same cannot be a reason for the said title to be regarded unlawfully holden by DW1 and DW2 under the Golden Reef, the company whose ownership has not been proved to have been transferred to Captain Sanga (PW1) and his fellow Menrad Florian Haule.

From the above analysis the first issue Whether Otto Holte (DW 2) and Lloyd Marthinsen (DW1) lawfully handed over the Certificate of Title No. 45952 to the Defendant for safe keeping has been proved in affirmative.

The 2nd issue is ***whether the Plaintiff's company is entitled to repossession of the Certificate of Title No. 45952.*** The issue is hereby analysed as hereunder;

The evidence reveals that DW1 and DW2 never sold their shares in Golden Reef Ltd. to Captain Sanga (PW1) and Lazarius Haule. The fact that the Certificate of Title No. 45952 has been proved to be lawfully owned by the said DW1 and DW2, and the fact that the same persons are the ones who wilfully handled it to the Defendant (Ulf Nilsson), its possession by the Defendant is lawful. The said two admitted that they willingly handed over the said title deed to the Defendant for safe keeping while they were leaving the country for their home country, Norway. As the said DW1 and DW2 entrusted the Defendant to safe keep the title deed, there was no need of instrument to empower DW1 and DW2 handing over the property and its certificate of title to the Defendant.

As for the evidence of PW3 (Seka Kassera), the Officer from BRELA which based on the disputed documents of share transfer, I find it doesn't serve any purpose as the same have been proved to be forged.

Therefore, it is the real Golden Reef Ltd controlled by Otto Holte (DW2) and Lloyd Marthinsen (DW1) which is the owner of the plot under the Certificate of Title No. 45952 and not the one purported to be controlled by Mr. Meinrad Florian Haule and Captain Lazarus Abel Sanga (PW1) as Share-Holders and Directors.

From the above analysis in respect of the 2nd issue, whether the Plaintiff's company is entitled to repossession of the Certificate of Title No. 45952, it is the findings of this court that the Plaintiff is not entitled to possession of the said Certificate of Title.

The 3rd issue, to what reliefs are the parties entitled is hereby resolved as follows; From the findings of the above two issues the matter is decided for the Defendant. The Plaintiff has failed to prove its case beyond the balance of probability which is the standard of proof in the cases of civil nature like this one.

In upshot the claims by the Plaintiff has no merit, consequently **the suit is hereby dismissed. Costs to be born by Captain Lazarus Abel Sanga (PW1) and Mr. Meinrad Florian Haule** who without justification pretended to be the Directors and Share-holders for Golden Reef Ltd while they are not.



S.M. KULITA

JUDGE

31/12/2020